

Scaling AromaBrew to a New Branch

Market entry recommendation for Yogyakarta expansion

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Recommendation

Enter Yogyakarta via Option B “the Grab-and-Go Kiosk” piloted under a distinct sub-brand

1

Meets the client's stated priority

Payback in ~2.9 months vs. 10 months for Option A. Directly answers the client's goal of fast payback and avoiding prolonged unprofitability.

2

Lower capital at risk

Rp. 100M investment vs. Rp. 300M for Option A. In a market described as hyper-competitive and price-sensitive, a smaller, faster pilot reduces downside exposure.

3

Fits the addressable customer

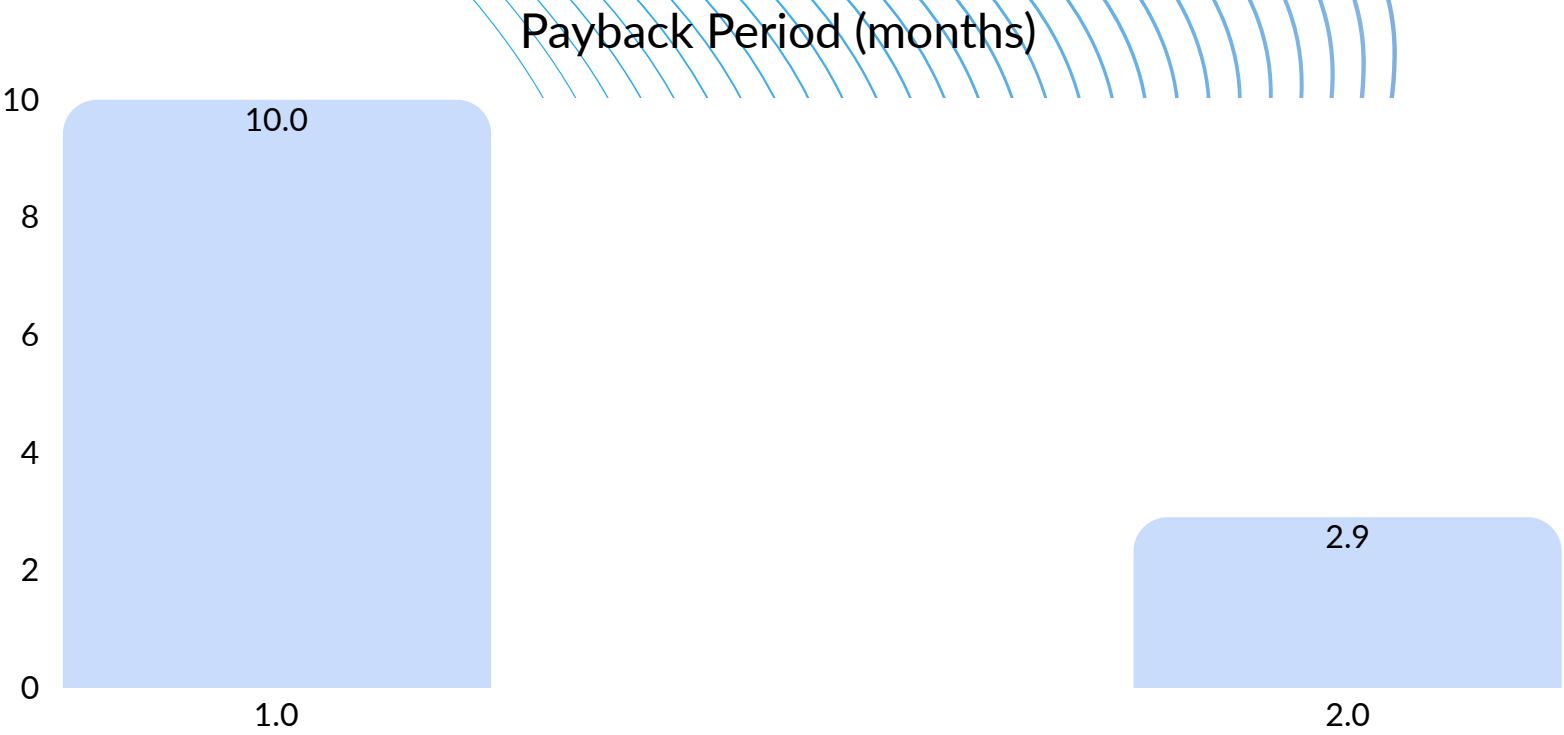
Tourists in Jogja seek quick, affordable, on-the-go coffee, the kiosk format matches this behavior better than a premium sit-down concept.

Trade-off to manage

Option B uses commercial house-blend beans instead of AromaBrew's signature single-origin sourcing (the core differentiator that built its Jakarta success). Positioning the kiosk as a distinct, lower-tier product line (not a copy of the flagship) protects brand equity while capturing the fast-payback opportunity.

Option B pays back 3.5x faster and delivers higher monthly profit despite lower revenue

Metric (per month)	Option A (Co-Working Cafe)	Option B (Grab-and-Go Kiosk)
Initial Investment	Rp 300,000,000	Rp 100,000,000
Revenue	Rp 157,500,000	Rp 108,000,000
Variable Cost	Rp 67,500,000	Rp 48,000,000
Fixed Cost	Rp 60,000,000	Rp 25,000,000
Total Cost	Rp 127,500,000	Rp 73,000,000
Profit	Rp 30,000,000	Rp 35,000,000
Payback Period	10.0 months	~2.9 months



Option A generates higher absolute revenue (higher price point), but its larger fixed cost and investment base slow payback well beyond the client's stated tolerance.

Key assumptions

- Figures based on exhibit data as provided by AromaBrew (price, COGS, footfall, fixed cost); no adjustment applied.
- Expected daily customer counts (150 / 200) assumed to hold at steady state from month 1, not ramped up gradually.
- Payback period measures time to recover Initial Investment Capital from monthly Profit only.

A phased, sub-branded entry limits downside while preserving AromaBrew's core identity

Risk	Why it matters	Mitigation
Brand dilution	Option B replaces AromaBrew's signature single-origin beans with a commercial house-blend – the differentiator that built its Jakarta success.	Launch under a distinct sub-brand / product line (e.g. an “Express” line) so quality expectations are set separately from the flagship.
Hyper-competitive, price-sensitive market	Over 3,500 coffee shops operate in Yogyakarta; local aesthetic cafes already undercut premium chains by ~30%.	Compete on convenience and speed for the tourist segment rather than price alone; avoid a head-on price war with local players.
Footfall assumption risk	Profitability depends on realizing 200 customers/day; actual footfall for a new entrant is unproven in this market.	Pilot with a short review checkpoint (e.g. first 2–3 months) against the footfall assumption before committing to further scale.

Answering the client's three questions

- Is Yogyakarta still viable? Yes, via Option B's lower-risk, fast-payback format.
- Which entry strategy? The Grab-and-Go Kiosk, positioned as a distinct sub-brand.
- How to avoid financial losses? Cap initial exposure at Rp 100M, validate footfall early, and protect the flagship brand via clear sub-brand separation.

Detailed Financial Calculation

Formulas used

- Revenue = Price per cup × Expected daily customers × Operating days
- Variable Cost = COGS per cup × Expected daily customers × Operating days
- Total Cost = Variable Cost + Fixed Monthly Cost
- Profit = Revenue – Total Cost
- Payback Period = Initial Investment Capital ÷ Monthly Profit

Step	Option A	Option B
Revenue = $35,000 \times 150 \times 30 / 18,000 \times 200 \times 30$	Rp 157,500,000	Rp 108,000,000
Variable Cost = $15,000 \times 150 \times 30 / 8,000 \times 200 \times 30$	Rp 67,500,000	Rp 48,000,000
Total Cost = Variable + Fixed	Rp 127,500,000	Rp 73,000,000
Profit = Revenue – Total Cost	Rp 30,000,000	Rp 35,000,000
Payback = Investment ÷ Profit	$300M \div 30M = 10.0$ months	$100M \div 35M \approx 2.9$ months

Appendix B

Supporting Market Data

Clarifying Question	Client Answer (summarized)
Main objective in Year 1?	Achieve full payback as quickly as possible; cannot afford prolonged unprofitability.
Distinct consumer behavior in Jogja vs. Jakarta?	Locals have lower purchasing power but linger 3–4 hrs/visit; tourists want quick, affordable, on-the-go options.
What are local premium competitors doing?	Many struggle with footfall; local aesthetic cafes offer a similar experience at ~30% lower price.
Can product quality be adjusted for Option B?	Yes, commercial house-blend bean instead of single-origin, to hit the lower variable cost target.

Source: AromaBrew case exhibits, provided by 180 Degrees Consulting UGM